GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

INTERNAL FINANCIAL CONTROLS POLICY

Document Information	
Policy Name	Internal Financial Controls Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
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Related Policies	Cash Handling Policy, Anti-Money Laundering Policy, Expenses Policy, Financial Reserves Policy, Conflict of Interest Policy, Grant-Making Policy

1. Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom. The Charity collects and distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) to eligible beneficiaries.

As a volunteer-run charity, the Charity relies entirely on trustees and volunteers to manage its financial affairs. This Internal Financial Controls Policy establishes the framework of controls that protect the Charity's assets, ensure the accuracy of financial records, and maintain the confidence of donors, beneficiaries, and regulators.

This policy has been developed in accordance with Charity Commission guidance (CC8 - Internal Financial Controls for Charities) and reflects the Charity's commitment to sound financial management and good governance.

2. Purpose

The purpose of this policy is to:

- Protect the Charity's assets from loss, misuse, or misappropriation
- Ensure the accuracy and reliability of financial records
- Prevent and detect fraud and error
- Ensure compliance with legal and regulatory requirements
- Maintain donor confidence through transparent financial management
- Ensure restricted funds (including Zakat) are used appropriately
- Provide clear guidance for trustees and volunteers handling finances
- Support the preparation of accurate annual accounts

3. Scope

This policy applies to:

- All trustees of the Charity
- All volunteers involved in financial activities
- Any third parties acting on behalf of the Charity in financial matters

The requirements of this policy should be reflected in other relevant policies and procedures, and in any agreements with third parties.

4. Fundamental Principles

4.1 Separation of Duties

To reduce the risk of error and fraud, no single person should have complete control over any financial transaction. Specifically:

- No one person may both authorise and make a payment
- No one person may both record transactions and reconcile bank accounts
- No one person may both approve grants and distribute funds to beneficiaries
- All cheques and significant payments require two authorised signatories

Where the small size of the Charity makes full separation of duties impractical, compensating controls should be in place, such as regular independent review of financial records by a trustee not involved in day-to-day financial operations.

4.2 Conflict of Interest

No individual may:

- Authorise payments to themselves
- Authorise their own expenses claims
- Make payments to, or enter into contracts with, family members or organisations in which they have an interest
- Participate in decisions where they have a financial interest

Any potential conflicts of interest must be declared and managed in accordance with the Charity's Conflict of Interest Policy.

4.3 Authorisation Limits

All expenditure must be properly authorised before payment. The following authorisation limits apply:

Expenditure Amount	Authorisation Required
Up to £500	One trustee (not the person making the payment)
£500 to £2,000	Two trustees
Over £2,000	Board of Trustees (or delegated authority)
Novel or contentious expenditure	Board of Trustees (regardless of amount)

Novel expenditure: Spending that falls outside normal charitable activities or exceeds policy limits.

Contentious expenditure: Spending that, while within policy, might reasonably be questioned or could cause reputational concern.

5. Budgeting and Financial Planning

5.1 Annual Budget

The Board of Trustees will approve an annual budget before the start of each financial year. The budget should:

- Include realistic and prudent income projections
- Identify expected expenditure by category
- Distinguish between restricted and unrestricted funds
- Include plans for charitable activities and grant-making
- Be consistent with the Charity's reserves policy

5.2 Budget Monitoring

Actual income and expenditure should be monitored against budget at least quarterly. Any significant variances should be investigated and reported to the Board, with explanations and any necessary corrective action.

6. Financial Reporting

Regular financial reports should be provided to the Board of Trustees. Reports should:

- Be provided at least quarterly (monthly during Ramadan when donation volumes are higher)
- Show income and expenditure against budget
- Show the current cash and bank balances
- Distinguish between restricted funds (including Zakat) and unrestricted funds
- Highlight any significant variances, risks, or issues
- Be presented in clear, understandable language

- Include the reserves position compared to target

7. Cash Handling

Cash donations are an important income source for the Charity, particularly collections at mosques and community events. However, cash presents higher risks than other forms of income. The following controls apply:

- Cash must be counted by two people independently and the amounts reconciled
- All cash received must be recorded immediately with the date, source, amount, and whether Zakat or Sadaqah
- Cash must be stored securely under lock and key with restricted access
- Cash holdings must not exceed insurance limits
- Cash must be banked promptly – ideally within one week of receipt, and always within two weeks
- Cash must be banked 'gross' – income must not be netted off against expenditure
- Cash must be kept separate from personal money
- Where significant sums are transported for banking, two people should escort the money by car
- Cash payments should be avoided wherever possible; bank transfers are preferred
- Cash must never be sent through the post

Full details are set out in the Charity's Cash Handling Policy.

8. Banking Controls

8.1 Bank Accounts

The following controls apply to bank accounts:

- Bank accounts may only be opened with written approval from the Board of Trustees
- All accounts must be in the Charity's name
- Bank mandates and signatories must be kept up to date
- Changes to signatories require Board approval
- The list of signatories must be reviewed at least annually
- When a trustee leaves office, their signatory authority must be removed promptly

8.2 Bank Reconciliations

Bank accounts must be reconciled at least monthly. The reconciliation should:

- Compare the bank statement with the Charity's records
- Identify and investigate any discrepancies
- Be performed by someone other than the person recording day-to-day transactions
- Be reviewed and signed off by another trustee

8.3 Online Banking

Where online banking is used:

- Access must require dual authorisation for payments above £500
- Login credentials must not be shared
- Security devices (card readers, etc.) must be kept secure
- Passwords must be strong and changed if compromised
- Access levels must be reviewed annually and removed when no longer needed

8.4 Cheques

If cheques are used:

- All cheques require two signatories
- Cheques must always be crossed 'account payee only'
- Blank cheques must never be signed
- Cheque stubs must be completed in full
- Cheque books must be stored securely under lock and key
- Unused cheques must be destroyed when changing bank signatories

9. Income Controls

9.1 Recording Income

All income must be recorded accurately and promptly. Records should capture:

- Date received
- Amount
- Source/donor (where known)
- Whether Zakat, Sadaqah, or other
- Any restrictions on use
- Method of receipt (cash, bank transfer, online, etc.)

9.2 Restricted Funds

Restricted funds, including Zakat, must be accounted for separately from unrestricted funds. This ensures that restricted funds are only used for their intended purpose. Separate fund accounting or tracking must be maintained to demonstrate compliance with donor restrictions.

9.3 Due Diligence on Donations

Anonymous or suspicious donations must be subject to appropriate due diligence in accordance with the Charity's Anti-Money Laundering Policy and Due Diligence Policy. Large or unusual donations should be reviewed by the Board before acceptance.

9.4 Gift Aid

Where donors complete Gift Aid declarations, these must be retained and Gift Aid claimed in accordance with HMRC requirements. Records must be sufficient to support claims if audited by HMRC.

10. Expenditure Controls

10.1 Authorisation

All expenditure must be authorised before payment is made, in accordance with the authorisation limits set out in Section 4.3. The person authorising must satisfy themselves that:

- The expenditure is for a legitimate charitable purpose
- It represents value for money
- Funds are available (and are appropriate funds – e.g., Zakat can only be spent on Zakat-eligible purposes)
- Supporting documentation is available
- There is no conflict of interest

10.2 Supporting Documentation

All payments should be supported by appropriate documentation such as invoices, receipts, or grant application forms. The documentation should be retained with the payment record for audit purposes.

10.3 Grant Payments to Beneficiaries

Payments to beneficiaries must be made in accordance with the Charity's Grant-Making Policy. Records must be maintained showing the assessment of eligibility, the amount approved, the payment made, and verification of receipt where practicable.

10.4 Expenses Claims

Expenses claims from trustees and volunteers must be made in accordance with the Charity's Expenses Policy. Claims must be supported by receipts and approved by a trustee who is not the claimant.

11. Asset Management

11.1 Fixed Assets

The Charity currently operates without significant fixed assets. If assets are acquired in future:

- A fixed asset register should be maintained
- Assets should be marked with the Charity's name
- The register should be reviewed annually
- Insurance cover should be reviewed to ensure adequacy
- Assets should not be removed without approval

11.2 Insurance

The Charity should maintain appropriate insurance cover, including public liability and trustee indemnity insurance. Insurance should be reviewed annually to ensure it remains adequate and appropriate.

12. Record Keeping

12.1 Financial Records

Proper accounting records must be maintained. These should:

- Show and explain all transactions
- Disclose the financial position at any time
- Enable preparation of accounts compliant with the Charities SORP
- Be sufficient to support an independent examination or audit

12.2 Retention Periods

Financial records must be retained for the following minimum periods:

- Accounts and annual reports: permanently
- Accounting records (cashbooks, ledgers): 6 years
- Bank statements and reconciliations: 6 years
- Invoices, receipts, and vouchers: 6 years
- Gift Aid records: 6 years from the end of the accounting period to which they relate
- Grant/beneficiary records: 6 years

12.3 Secure Storage

Financial records should be stored securely. Physical records should be kept under lock and key. Electronic records should be backed up regularly and stored securely with appropriate access controls.

13. IT and Online Security

To protect financial information and systems:

- Security software (anti-virus, firewalls) must be kept up to date
- Software updates should be installed promptly
- Passwords must be strong, not shared, and changed regularly
- Financial data must be backed up regularly to a secure location
- Access to financial systems should be restricted to those who need it
- When a trustee or volunteer leaves, their access must be removed promptly
- Sensitive financial information must not be entered into public AI systems (such as ChatGPT)
- Trustees and volunteers should be aware of phishing and other online fraud risks

14. Fraud Prevention and Response

14.1 Prevention

The controls in this policy are designed to prevent fraud. All trustees and volunteers should be alert to the signs of fraud and report any concerns immediately.

14.2 Reporting

If fraud is suspected, it must be reported immediately to the Chair of Trustees (or another trustee if the concern relates to the Chair). The matter should be investigated promptly and, if fraud is confirmed, reported to the Charity Commission as a serious incident and to the police if appropriate.

14.3 Losses

Any financial losses must be investigated to determine the cause and whether controls need to be strengthened. Losses must be documented and approved for write-off by the Board.

15. Roles and Responsibilities

15.1 Board of Trustees

The Board is collectively responsible for:

- Approving this policy and ensuring it is implemented
- Approving the annual budget
- Receiving and reviewing regular financial reports
- Approving the annual accounts
- Ensuring appropriate controls are in place
- Authorising significant expenditure and changes to banking arrangements
- Responding to any fraud or financial irregularity

15.2 Treasurer (or Designated Trustee)

If a Treasurer is appointed, or a trustee takes designated responsibility for finance, they should oversee day-to-day financial management, prepare reports for the Board, ensure controls are operating effectively, and liaise with the independent examiner or auditor.

15.3 All Trustees and Volunteers

All trustees and volunteers involved in financial activities must follow this policy, maintain accurate records, report any concerns, and protect the Charity's assets.

16. Annual Accounts and Independent Examination

The Charity must prepare annual accounts in accordance with the Charities SORP (Statement of Recommended Practice). For charities with income between £25,000 and £1 million, an independent examination is required. The independent examiner will review the accounts and report any matters of concern.

Trustees should ensure that records are maintained to a standard that facilitates the independent examination and that any recommendations from the examiner are addressed.

17. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are changes to relevant legislation or Charity Commission guidance
- Issues arise with financial controls
- The independent examiner recommends changes
- There are significant changes to the Charity's activities or structure
- A fraud or significant financial issue occurs

18. Related Policies and Guidance

Related Charity Policies:

- Cash Handling Policy
- Anti-Money Laundering Policy
- Due Diligence Policy
- Expenses Policy
- Financial Reserves Policy
- Conflict of Interest Policy
- Grant-Making Policy

External Guidance:

- Charity Commission – CC8: Internal Financial Controls for Charities
- Charity Commission – Compliance Toolkit: Protecting Charities from Harm
- Charity Governance Code
- Charities SORP (FRS 102)

19. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

20. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Internal Financial Controls Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

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